



HSBC

- ▶ India debut: 1853
- ▶ Size of balance sheet: ₹2,47,310 crore

KEY FOCUS AREAS:

- ▶ Wealth management
- ▶ Custody and foreign exchange
- ▶ Transaction banking
- ▶ Institutional business

“We are in the midst of significant customer acquisition across all segments... We want to double, triple, or quadruple our customer base across segments... The high-level strategies [will help us] become a much more Indian bank”

HITENDRA DAVE
CEO, HSBC INDIA

global banking major Citi sold its India consumer business to private sector major Axis Bank. For the New York-headquartered Citi, the move was in line with its global strategy that saw it exiting the consumer business in 13 markets. But Citi is not scaling down in India; in fact, it plans to redeploy the capital in the institutional businesses in the country.

There have been exits, partial scaling down or restructuring of the business by foreign banks in India

in the past as well. To name a few, banking majors like Barclays, Royal Bank of Scotland Plc (RBS), and UBS have either exited or reworked their strategies after starting their India operations. “Post the global financial crisis, many of the global banks had capital requirements on their main balance sheet. So, as they looked at their spread, they looked at what are the areas where they could get efficiency,” says Surojit Shome, MD & CEO, DBS Bank India.

So, what is happening in the foreign banking universe in India?

SMALL IS BEAUTIFUL

There are nearly 150 different commercial banks operating in India across categories—public sector banks (PSBs), private banks, foreign banks, small finance banks and payments banks. Foreign banks form the largest group, with 45 entities, while there are 21 private banks and 12 PSBs, as per 2021-22 data from the Reserve Bank of India (RBI).

In terms of the number of branches, however, foreign banks are nowhere near PSBs. Foreign banks have a branch network of 874, compared to the PSBs’ 86,311, as per RBI data. Despite the limited number of branches, foreign banks play a crucial role in the Indian economy at a time when local companies are looking outwards and global companies are looking at India for growth following the economic slowdown in Europe, the US and other parts of the world.

Historically, foreign banks in India have focussed on niche segments, but they are now further consolidating and re-evaluating their strategies given the new opportunities. And they have a vast and diverse area to choose from: MNCs, top Indian conglomerates, investment banking, cross-border services for foreign investors, fixed income & forex, institutional business, structured finance and even new-age sectors, with a focus on India’s growing population of unicorns.

These areas have been identified even as the overall share of foreign banks in total loans and advances has consistently fallen over the years. It was as high as 8 per cent in the early 2000s from where it fell to 6 per cent just before the global financial crisis. In 2020, it was at around 4.16 per cent, while 2021 saw it dipping to 3.92 per cent, as per RBI data. Simply put, overall competition in the Indian banking space is intensifying as domestic banks—both government-owned and private—are aggressively modernising and expanding, and foreign banks have to work harder to protect their share of the pie. In such a scenario, major foreign banks are focussing on areas based on their strengths.